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Federal Maritime Commission
- Ms. Karen V. Gregory, Secretary
800 North Capitol Street, N.W. Room 1046

Washington D.C. 20573-0001

U.S.A.

Hamburg, 14 January 2011

Dear Ms. Gregory,

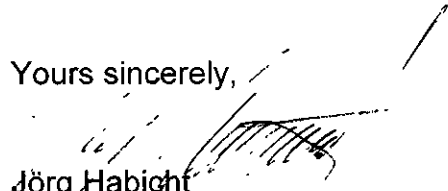
**Ref.: November 1st, 2010, Notice of Inquiry - An Analysis of the
European Union Repeal of the Liner Conference Block Exemption**

We very much appreciate the opportunity to comment on this important issue.
Please find attached one non-confidential and one confidential version of the
Hapag-Lloyd response to the questions raised.

The confidentiality request refers to the questions: 5, 6, 9, 11, 12, 15, 16, 17,
20, 24, 25 and 26. The reasoning for our request is that this kind of data is not
published otherwise by Hapag-Lloyd and is, therefore, considered sensitive
and confidential. Partly competitors could draw their conclusions about the
Hapag-Lloyd commercial strategy from that information, which we must avoid.

Whilst we have no objections to share these responses with the FMC on a
confidential basis, we feel it not appropriate to have them published and we
rely on your good understanding.

Yours sincerely,


Jörg Habicht

Hapag-Lloyd AG, Hamburg

Sitz: Hamburg, Handelsregister:
Amtsgericht Hamburg HRB 97937

Vorsitzender des Aufsichtsrates:
Dr. Michael Frenzel
Vorstand:
Michael Behrendt (Vorsitzender),
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Jesper Brøstenegaard

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FMC E.U. Study Notice of Inquiry Questions

Identifying Information (Please provide the information requested below with your NOI response.)

Name of Respondent: Joerg Habicht
Respondent's Title/Position: Director Corp. Compliance & Regulatory Affairs
Contact Information: +49-40-3001-2150, Joerg.Habicht@hlag.com

Name and Address of Company or Other Entity: Hapag-Lloyd AG
Ballindamm 25
20095 Hamburg
Germany

Type of Company or Other Entity: *Vessel-Operating Ocean Carrier (VOCC)*

Section A: General Questions

1. Based on your experience *since September 2006* (when the European Union announced its decision to terminate the block exemption for liner shipping conferences to take effect October 2008), what impacts, if any, have you identified on your company's commercial activities, *in any trade lane*, that you would *attribute to the termination of the E.U. conference block exemption*? Please explain. If you believe there have been such impacts, please indicate when that impact first occurred.

We feel it is difficult to quantify with certainty the precise impact of the termination of the E.U. block exemption regulation (BER) for liner conferences. The analysis is complicated by the fact that the termination came just at the time when the economic crisis started, so it is hard to say that a certain portion of the business impact was caused by the termination of the conference BER as opposed to the economic crisis. The relative impact can be better evaluated after the industry operates under "normal economic conditions for at least two consecutive years" without conferences. That can be expected to be in 2011-2012 (2010 still is an extraordinary year of recovery). Also, of course, there are some differences between the contracting processes and customer bases in the EU trades and the non-EU trades that affect the analysis.

That said, while precise measurement is difficult, we have noted some differences between the EU trades and those that have retained carrier rate agreements. One such impact is that the major EU trades have experienced more rate volatility over the past two years than the major non-EU trades. We believe this relates at least in part to the stabilizing influence that comes from carriers being able to share market information and discuss general rate trends and establish voluntary rate guidelines. Shippers have told us on a number of occasions that

they place great value on stability and predictability and do not like wild swings in rates and service. In addition, going forward, greater volatility may cause some carriers to be more conservative in long-term planning and investment in expensive vessels and other assets, which could in turn affect service levels.

Another impact the termination of conferences on EU trades certainly had on our commercial activities was that for legal safeguards there needed to be change in mindset. At times of conferences the carriers - in exchange for a certain antitrust immunity for pricing activity - made commitments to the trade in form of longer advance notices for general rate increases, transparency in and uniform calculation of additional (in case of THCs partly absorbing them to a certain degree). Under the new regime it became illegal to collude on those topics and each carrier had to find its way deal with those issues. HLAG for example introduced its own bunker formula (as did many other carriers) and scrutinized its THC calculation. Especially in Europe this has led to an increase in THC's. In this context we like to draw the FMC's attention to a 2009 report commissioned by the European Commission, undertaken by Raven Trading Ltd. (Mr. Ben Hackett). That report came to the conclusion that in European Ports carriers' THC's generally increased on average by 20% post October 2008. In other areas it was less drastic.

- 2. Based on your experience *since October 2008* (when the E.U. exemption for liner conferences was terminated) has any class of shipper or class of vessel-operating common carrier received a competitive advantage or been put at a competitive disadvantage as a result of the E.U. decision to terminate the exemption? If so, please explain.**

Similar as outlined in response to q. 1 above, we feel it is difficult to quantify with certainty the precise impact of the termination of the E.U. block exemption regulation (BER) for liner conferences. However, our first impression is that neither a certain class of shipper or carriers received a competitive advantage or has been put at a competitive disadvantage as a result of the EU decision to terminate the exemption.

- 3. Based on your experience *since October 2008* (when the E.U. exemption for liner conferences was terminated), have differences between U.S. and E.U. liner shipping competition regulations created any problems for your company? If so, please explain.**

Negative. On the Transpacific the EU regulations are not applicable and for the Transatlantic there was no major change anyhow for HLAG, as HLAG for other reasons had to leave the TACA (Trans Atlantic Conference Agreement) already in 2006. Anyway there do not seem to be provisions that are mandatory under US regulations that would be prohibited under EU regulations, i.e. there was no clear clash of two regulatory regimes. At its best the US regime would allow activities that are prohibited under the EU regime, so the most stringent regime needed to be applied. This may give rise to the question why / how two regulatory bodies can have such different views on similar / same issues, but perhaps credit must be give to the better expertise of a specialized shipping regulatory agency such as the FMC, who has a better understanding of the actual shipping practices.

4. Does your company view cooperation among ocean carriers in *operational agreements* (e.g., vessel sharing agreements, alliances, consortia, etc.) as generally having a positive, neutral or negative impact on the availability or cost of liner shipping services? Please explain. Does the E.U. market share threshold of 30% for such operational agreements have any effect with respect to that impact? If so, please explain.

HLAG considers operational cooperation amongst carriers to have a generally positive impact on the availability and cost of liner shipping services, always subject that such co-operations are deemed necessary or desirable to sustain a service and allow the provision of an efficient and reliable service. They generally also offer expanded global service opportunities and a wider range of direct port coverage, which otherwise would prove difficult to be operated / maintained on an individual basis. Co-operations enable carriers to easier enter into new markets and to better adapt to changing conditions, whilst still providing a continued or improved service to customers.

In the view of HLAG the 30% market share threshold is unnecessary and burdensome. Passing the threshold means deeper scrutiny (selfassessment) without resulting into any regulatory benefit. Member carriers of consortia or other forms of interrelated operational arrangements cooperate as an alternative to buy space at a higher price or operate oversized and thereby inefficient services just on their own. The latter especially in view of the enormous investment tight in into own services. One could be of the view, that the bigger a operational cooperation is (higher market share), the better is its economy of scale. The Immunity provided to VSAs under the US system provides helpful certainty for these agreements that facilitates the business and service benefits that are cited.

Section B: Questions about the North Atlantic Trade (North Europe/U.S.)

5. Approximately what percent of your company's freight earnings (lines, OTIs) or shipping expenses (shippers) involves international shipping in the North Europe/U.S. trade? Does your company's business involve US imports (westbound service) only, U.S. exports (eastbound service) only, or both? Please explain briefly.

Confidential material excluded.

6. How, and to what extent, did the recent economic recession (2008 – 2009) affect your company's liner shipping-related business in the North Europe/U.S. trade? Please explain.

Confidential material excluded.

7. Based on your experience *prior to July 2008*, when the Trans-Atlantic Conference Agreement (TACA) disbanded, did the existence of TACA have any impact on your liner shipping-related business in the North Europe/U.S. trade? If so, please explain.

HLAG membership in TACA terminated in Jan 2006, following the acquisition of CP Ships and the conditions imposed by the European Commission in this respect. None the less there were noticeable market changes since the termination of TACA:

- reaction on market changes are faster now a days, leading to a greater rate Volatility
- there seems to be less stability on major surcharges, such as THCs and Bunker additional.

8. Based on your experience in the period *from October 2008 to the present* (i.e., since the E.U. block exemption was terminated), has there been any significant change(s) in liner services in the North Europe/U.S. trade *that you attribute to the E.U. terminating the block exemption*? For example, changes in:

- a. the level of freight rates and surcharges;
- b. the frequency with which rates or surcharges are adjusted upward or downward (rate volatility);
- c. the assessment of surcharges;
- d. the level of competition among ocean carriers;
- e. the service contracting practices or terms offered by ocean carriers;
- f. the availability of vessel capacity and container equipment; or
- g. the level or quality of liner services (including customer service, billing accuracy, etc.)

If so, please identify and explain those changes.

Similar as outlined in response to q. 1 & 2 above, we feel it is difficult to quantify with certainty the precise impact of the termination of the E.U. block exemption regulation (BER) for liner conferences.

In view of a-c) assessment of surcharges:

Please see our discussion in Response 1 above.

Items d, e, f, g were not affected by termination of block exemption, as not addressed by TACA anyhow.

9. For CY 2010 to date, please estimate the percentage of your annual business (by volume) in the North Europe/U.S. liner trade that moved under (a) annual (or longer) service contracts, (b) shorter-term freight agreements, (c) spot rates, and (d) other (please specify). Has that changed significantly since October 2008? If so, please explain.

Confidential material excluded.

10. Following repeal of the E.U. block exemption, ocean carriers created a global information system under *Container Trade Statistics, Ltd.* (CTS) in which a majority of ocean carriers serving the North Europe/U.S. trade participate. CTS provides certain data free on its web site, including indices of the carriers' aggregated average revenue per TEU by month. CTS also sells other data. To what extent, if at all, does your company access and use CTS Europe/U.S. trade data, and (if it does so) for what purpose(s)?

CTS meanwhile has become 100% independent company under UK Law and handles carrier volume data and a price index on behalf of the "World Liner Data Limited", of which HLAG is a member. HLAG does, therefore, receive the CTS Trade data. HLAG uses the data mainly:

- to monitor the HLAG market share and its trend over time
- to monitor total market volumes and growth / decline trends over time
- to monitor price index trends versus own developments (very roughly)

The CTS data has become a valuable tool, as absent conferences on EU trades, for many trades lanes there would have been no reliable figures or no figures at all.

Section C: Questions about the Transpacific Trade (Far East/U.S.)

11. Approximately what percent of your company's freight earnings (lines, OTIs) or shipping expenses (shippers) involve international shipping in the Far East/U.S. trade? Does your company's business involve U.S. imports (eastbound service) only, U.S. exports (westbound service) only, or both? Please explain.

Confidential material excluded.

12. How, and to what extent, did the recent economic recession (2008-2009) affect your company's liner shipping-related business in the Far East/U.S. trade? Please explain.

Confidential material excluded.

13. Based on your experience *from January 2006 to the present*, have the activities of the Trans-Pacific Stabilization Agreement (TSA) or the Westbound Trans-Pacific Stabilization Agreement (WTSA) had any significant impact on your company's liner shipping-related business in the Far East/U.S. trades? If so, please explain.

TPEB

HLAG believes that the TSA did have a stabilizing effect on the market, mainly in the voluntary handling of assessorial charges, such as Bunker Surcharges etc, as well as in carriers being able to manage the service contract validity from the traditional May 1 to April 30 period. Also through TSA carriers are able to voluntarily exchange views on the market developments and to make their own pricing decisions on that basis.

TPWB

The WTSA has had a stabilizing impact on the trade and by extension H-L's TPWB performance. As a forum for carriers to discuss latest market developments, it has served to temper the potential for carriers to over-react to unexpected short-term market fluctuations (up or down). In addition, the WTSA's establishment of voluntary surcharges such as BAF, has provided a stabilizing influence on the trade by providing a common formula for the majority of the carriers in the trade, which serves the shippers who would otherwise contend with a multitude of different surcharge levels and formulas unique to each carrier.

Generally

Although difficult to substantiate the impact, both agreements have the beneficial effect that they facilitate dialogue with shippers as such, or that they can provide helpful information through common approaches to regulatory bodies in the US and other countries on behalf of the lines.

14. Based on your experience in the period *from October 2008 to the present*, have there been any significant characteristics of liner services in Far East/U.S. trades that you *attribute to actions taken by TSA or WTSA member lines acting collectively*? For example:

- a. the level of freight rates and surcharges;
- b. the frequency with which rates or surcharges are adjusted upward or downward (rate volatility);
- c. the assessment of surcharges;
- d. the level of competition among ocean carriers;
- e. the service contracting practices or terms offered by ocean carriers;
- f. the availability of vessel capacity and container equipment; and
- g. the level or quality of liner services (including customer service, billing accuracy, etc.)

If so, please identify and explain those characteristics.

TPEB

Through TSA carriers have been able to streamline assessorial charges, such as, but not limited to, BAF, including the formula for same, Terminal charges etc. While TSA carriers collectively agree on annual voluntary guidelines, implemented voluntarily, the amount finally agreed upon is between the individual shipper and carrier. Based on the experience of 2010, carriers, through TSA, are working on expanding the role of the service contract beyond the rate/volume agreement to also include mutual performance criteria. TSA does not discuss or agree on vessel capacity fluctuations, and thus does not have any influence in that matter.

TPWB

- a) Freight Rate levels have ultimately been determined by the market, and while the WTSA has had a positive impact on reducing price volatility over short time periods; the prevailing market forces as dictated by supply/demand ratio have determined the final (actual) freight rates. Note: WTSA market share averages 65-67%.
- b) Frequency of rate adjustment – Similar to comments to item #13. Further, the ultimate determining factor on frequency of rate adjustments are un-expected changes to the supply/demand ratio.
- c) Surcharge assessment is a voluntary action of the individual WTSA members.
- d) No impact by WTSA on carrier competition.
- e) Contracting practices are voluntary actions of the individual WTSA members.
- f) No impact by WTSA on capacity and equipment availability. Neither of these topics is addressed within WTSA forum.
- g) No impact by WTSA. Normal competition among carriers to better serve the shippers is the driver for improvement in liner services.

15. For CY 2010 to date, please estimate the percentage of your annual business (by volume) in the Far East/U.S. liner trade that moves under (a) annual (or longer) service contracts, (b) shorter-term freight agreements, (c) spot rates, and (d) other (please specify)? Has that changed significantly since October 2008? If so, please explain.

Confidential material excluded.

Section D: Questions about the Europe – Asia Trade (Far East/Europe)

16. Approximately what percent of your company's freight earnings (lines, OTIs) or shipping expenses (shippers) involve international shipping in the Far East/Europe trade? Does your company's business involve European imports (westbound service) only, European exports (eastbound service) only, or both? Please explain briefly.

Confidential material excluded.

17. How, and to what extent, did the recent economic recession (2008-2009) affect your company's liner shipping-related business in the Far East/Europe trade? Please explain.

Confidential material excluded.

18. Based on your experience *prior to October 2008* (i.e., before the Far East Freight Conference (FEFC) disbanded), did the existence of FEFC have any impact on your liner shipping-related business in the Far East/Europe trade? Please explain.

Please see our discussion of the impacts of the withdrawal of rate immunity in response to Question 1 above.

19. Based on your experience in the period *from October 2008 to the present* (i.e., since the E.U. block exemption was terminated), has there been any significant change(s) in liner services in the Far East/Europe trade *that you attribute to the E.U.'s ending of the block exemption*? For example, changes in:

- a. the level of freight rates and surcharges;
- b. the frequency with which rates or surcharges are adjusted upward or downward (rate volatility);
- c. the assessment of surcharges;
- d. the level of competition among ocean carriers;
- e. the service contracting practices or terms offered by ocean carriers;
- f. the availability of vessel capacity and container equipment; and
- g. the level or quality of liner services (including customer service, billing accuracy, etc.)

If so, please identify and explain those changes.

Similar as outlined in response to q. 1 & 2 above, we feel it is difficult to quantify with certainty the precise impact of the termination of the E.U. block exemption regulation (BER) for liner conferences.

In view of a-c) assessment of surcharges:

Please see our discussion in Response 1 above. Due to the establishment of individual tariffs by carriers following the termination of the FEFC and IPBCC, surcharge levels and their application differed from carrier to carrier (according to / based on customer feedback). This has led to a push by certain customer groups requesting to eliminate the separate application of some surcharges and offer rates on an "all in" basis. This trend is probably true for all major trades.

Items d, e, f, g were not affected by termination of block exemption, as not addressed by FEFC anyhow.

20. For CY 2010 to date, please estimate the percentage of your annual business (by volume) in the Far East/Europe liner trade that moved under (a) annual (or longer) service contracts, (b) shorter-term freight agreements, (c) spot rates, and (d) other (please specify)? Has that changed significantly since October 2008? If so, please explain.

Confidential material excluded.

21. Following repeal of the E.U. block exemption, ocean carriers created a global information system under *Container Trade Statistics, Ltd. (CTS)*, in which a majority of ocean carriers serving the Far East/Europe trade participate. CTS makes certain data free on its web site, including indices of the carriers' aggregated average revenue per TEU by month. CTS also sells other data. To what extent, if at all, does your company access and use Far East/Europe trade data, and (if it does so) for what purpose(s)?

CTS meanwhile has become 100% independent company under UK Law and handles carrier volume data and a price index on behalf of the "World Liner Data Limited", of which HLAG is a member. HLAG does, therefore, receive the CTS Trade data. HLAG uses the data mainly:

- to monitor the HLAG market share and its trend over time
- to monitor total market volumes and growth / decline trends over time
- to monitor price index trends versus own developments (very roughly)

The CTS data has become a valuable tool, as absent conferences on EU trades, for many trades lanes there would have been no reliable figures or no figures at all.

Section E: Comparisons Among Trades

22. Based on your experience since October 2008 (since the E.U. block exemption was terminated) are there differences in the characteristics of the Far East/U.S. trade versus the Far East/Europe or North Europe/U.S. trades that you attribute to differences between U.S. and European liner competition regulations? For example, differences in:

- a. the level of freight rates and surcharges;
- b. the frequency with which rates or surcharges are adjusted upward or downward (rate volatility);
- c. the assessment of surcharges;
- d. the level of competition among ocean carriers;
- e. the service contracting practices or terms offered by ocean carriers;
- f. the availability of vessel capacity and container equipment; and
- g. the level or quality of liner services (including customer service, billing accuracy, etc.)

If so, please explain those differences.

Trades have different characteristics, already prior to and unchanged since Oct. 2008.

The global crisis affected those trades differently, which had an impact on items a, b and c.

In view of c) = rate volatility, we attach **on confidential basis** a chart based on avg. Hapag-Lloyd Rates per TEU on the dominant legs Far East to Europe (FE-EU = non-conference trade) and the Far East to USA (FE-USA = covered by VDAs), showing the trend lines of rate fluctuation levels on both trade lanes from Sept. 2007 to Dec. 2010. Comparing both trade lanes, the result seems to suggest that VDAs bring stability to the trade as:

- Range of fluctuation during that period (incl. crisis) is not as drastic on the FE-USA trade as on FE-EU trade
- Rates on FE-EU trade started declining earlier and stronger but also recovered faster

As previously discussed, this volatility cannot be assigned wholly to the EU regulatory changes, as there are also some differences in the trade characteristics, but we believe the effect of the different systems is significant.

Items d, e, f and g are not relevant here since the block exemption and/or VDA's do not control the decisions of the individual carriers in this respect.

23. Please identify any significant similarities and dissimilarities (for example, cargo volumes, scope or scale of operations, shipper mix, geography, market concentration levels, contracting practices, legal requirements, etc.) that existed in liner shipping markets in the (1)

Far East/U.S. trade and the (2) Far East/Europe trade during the period 2006-2010. In your opinion, how (if at all) would those similarities and dissimilarities likely impact a comparison of liner pricing and service behavior across those two trades?

TPEB vs. FEWB

Similarities:

- Both trades are major East-West trades, with roughly the same volumes in each direction, and represented by about the same major carriers.

Dissimilarities:

- FE-Eur volumes have considerably longer transit times than TP volumes. This allows a relatively greater usage of slow steaming without creating extensive waiting times in ports, which would be necessary on the short steaming legs in the Asia – USWC trades in order to maintain the required weekly sailing frequency.
- TP volumes to the East Coast through the Panama Canal are limited in terms of viable vessel size (max around 4400 TEUS), thus encountering a relatively larger slot cost due to the restricted ability to achieve the best economy of scale.
- While TPEB trade is roughly 50/50 split between BCO and NVO, the FE trade is to a greater degree controlled by NVOs.
- Through the trend towards annual contract validities, the TPEB trade tends to be more steady in rate developments, while the FE trade is seeing a greater rate volatility.
- With the exception of the abolition of the FEFC through the EU abolition of the conference block exception, there is no major change in the legal requirements in the Asia-US market.
- No major change in the contracting practices in the TPEB market, although it is expected that going forward there will be greater emphasis on service aspects, rather than just rate/volume agreements.

TPWB vs FEEB

Similarities:

- Both the TPWB and FEEB trades are considered “back-haul / non-dominant” legs; meaning that the volumes and cargo mix produce less revenue for the round-trip trade result versus the dominant leg (respectively TPEB and FEWB).
- The trades are also similar in size with 2010 projected volumes of 6.2 mio TEU TPWB and 6.1 mio TEU FEEB.

- Imbalances are historically also similar between the dominant/non-dominant legs in the range of 2 : 1 teu.

Dissimilarities:

- It is our understanding that the cargo mix is different between the TPWB and FEEB, whereby recyclables (wastepaper, metal and plastic scrap) account for a larger market share in TPWB (roughly 30% of the market).
- The practice of longer term rate agreements is also more prevalent in the TPWB trade than in the FEEB.
- Capacity issues as highlighted above in TPEB section.

Section F: Additional Questions for Vessel-Operating Common Carriers

FOR VOCCs ONLY:

24. Please estimate the percentage of your liner revenues (globally) that were earned in each of the following trade lanes during CY 2010 to date:

- | | | |
|----|-----------------------------------|-------------|
| a. | North Europe/U.S. liner trade | <u>XX %</u> |
| b. | Far East/U.S. liner trade | <u>XX %</u> |
| c. | Far East/Europe liner trade | <u>XX %</u> |
| d. | All other liner trades | <u>XX %</u> |
| e. | Total (all liner trades combined) | 100 % |

If those percentages changed significantly during the 2006 through 2010 period, please describe and explain the change.

Confidential material excluded.

25. In each of the three major East-West trades, please estimate the percent of cargo your company carried for beneficial cargo owners (BCO) accounts, (b) OTI accounts, (c) other accounts (if any, please explain) during CY 2010 to date:

	<u>BCO</u>	<u>OTI</u>	<u>Other</u>
f. North Europe/U.S. liner trade	_____	_____	_____
g. Far East/U.S. liner trade	_____	_____	_____
h. Far East/Europe liner trade	_____	_____	_____

Has the relative ranking of shipper types in these trade lanes changed significantly during the 2006 through 2010 period? If so, please describe and explain the change.

Confidential material excluded.

26. In each of the three major East-West trade lanes, please indicate which lanes have tended to be the relatively most profitable and which was the relatively least profitable for each year between 2006 and 2010 (inclusive). [Write *M* for most, and *L* for least.]

	<u>Far East/U.S.</u>	<u>Far East/Europe</u>	<u>North Europe/U.S.</u>
a. 2006	_____	_____	_____
b. 2007	_____	_____	_____
c. 2008	_____	_____	_____
d. 2009	_____	_____	_____
e. 2010	_____	_____	_____

If those rankings changed significantly during the 2006 through 2010 period, please explain the reason(s) for the change.

Confidential material excluded.

27. Based on your experience during the period *from January 2006 to the present*, have there been any significant changes in the nature of your business in the *North Europe/U.S.* liner shipping market related to *changes* in:

- a. Seasonality of cargo movements;
- b. Commodity values;
- c. Directional cargo imbalances (imports vs. exports);
- d. Number of carriers serving the trade; or
- e. Minimum scale (# and size of vessels) needed to serve the trade efficiently

If so, please identify and explain those changes.

- a. no

- b. no
- c. no
- d. during the crisis years some carriers have withdrawn either capacity or loops, in 2010 some have added capacity again
- e. no

Transatlantic general developments taken from Drewry Container Forecaster Reports (annualized situation as at the 4th Q. of each year):

<u>Criterion:</u>	<u>4Q2007</u>	<u>4Q2008</u>	<u>4Q2009</u>	<u>4Q2010</u>
No. of Services	23	21	18	15
Avg. Vessel Size	3,507	3,618	3,705	3,932
Size Trend		+ 3.2%	+ 2.4%	+ 6.1%

28. Based on your company's experience in the *North Europe/U.S.* trade, please identify any substantial changes that occurred in your liner business (operations, marketing, pricing, etc.) in the two years following repeal of the E.U. liner conference exemption (CY 2009 and 2010) as compared with the two years preceding the repeal (2006 – 2007)? If any, please explain.

HL did exit from TACA in Jan 2006 already (as a consequence of the CP Ships acquisition and conditions the European Commission imposed in this context). So the termination of TACA in Oct. 2008 had no immediate impact on the HLAG situation.

Whether or not the termination of TACA had an impact on the overall liner business on the former TACA trade is difficult to determine, as the termination came almost at the same time with the beginning of the global crisis. So it is difficult to attribute any changes to either the repeal of the conference or the global crisis. This can earliest be done after two consecutive years operating under "normal business conditions", which should be 2011 and 2012.

29. Based on your experience during the period from January 2006 to the present, have there been any significant changes in the nature of your business in the *Far East/U.S.* liner shipping market related to *changes* in:

- a. Seasonality of cargo movements,
- b. Commodity values
- c. Directional cargo imbalances (imports vs. exports)
- d. Number of carriers serving the trade; or
- e. Minimum scale (# and size of vessels) needed to serve the trade efficiently

If so, please identify and explain those changes.

TPEB

- A. There has been a minor change in the seasonality of cargo movement, spreading out the traditional 'peak season' from July – October to June – November. We have also seen a slight shift in the volume movements during the slack season.
- B. Although HLAG does not track cargo value developments, it is our understanding that there has been no marked change in the commodity values.
- C. The directional cargo imbalance (EB vs. WB) has slightly shifted with relatively larger growth rates WB than has been seen EB.
- D. During 2010 there has been an increase in the number of carriers - with 3-4 new carriers entering the trade.
- E. In our view, the ideal vessel sizes for the USWC range from 5500 – 8700 TEUS, while , due to Panama Canal capacity limitations, presently we are only able to operate PanMax vessels to the USEC, ranging from 4000 – 4400 TEUS. Through the Suez we are able to operate much bigger vessels.

TPWB

- A) Seasonality of agri products (soybean, etc..) and cotton have become less predictable, as the time between harvesting and when the product actually ships has become more detached. The time frame in which these commodities move is more dictated by the global commodity pricing and when the orders are actually placed.
- B) We are not in a position to comment on the relative changes in commodity values 2006 to date.
- C) While TPEB remains the dominant trade with respect to volume and revenue, we have seen the imbalance between the two for HL business narrow on an annual basis.
- D) Same comment as TPEB.
- E) Same comments as TPEB.

Transpacific general developments taken from Drewry Container Forecaster Reports (annualized situation as at the 4th Q. of each year)

<u>Criterion:</u>	<u>4Q2007</u>	<u>4Q2008</u>	<u>4Q2009</u>	<u>4Q2010</u>
No. of Services	78	75	63	71
Avg. Vessel Size	4,860	5,221	5,422	5,731
Size Trend		+ 7.4%	+ 3.8%	+ 5.7%

30. Based on your experience during the period *from January 2006 to the present*, have there been any significant changes in the nature of your business in the *Far East/E.U.* liner shipping market related to *changes* in:

- a. Seasonality of cargo movements;
- b. Commodity values;
- c. Directional cargo imbalances (imports vs. exports);
- d. Number of carriers serving the trade; or
- e. Minimum scale (# and size of vessels) needed to serve the trade efficiently

If so, please identify and explain those changes.

- a. no
- b. Main growth from European countries has been low value/scrap shipments such as paper. Project shipments, largely used for construction, from Europe to developing Asian countries also showed a significant decline in 2009 and partly 2010 due to the economic crisis.
- c. Imbalances have increased over the past years due to the growing Asian export volumes and slower growing European exports
- d. no
- e. no

Far East – Europe general Developments taken from Drewry Container Forecaster Reports (annualized situation as at the 4th Q. of each year):

<u>Criterion:</u>	<u>4Q2007</u>	<u>4Q2008</u>	<u>4Q2009</u>	<u>4Q2010</u>
No. of Services	61	65	43	49
Avg. Vessel Size	6,197	6,689	7,573	7,653
Size Trend		+ 7.9%	+ 13.2%	+ 1.1%